

Chapter 1



INTRODUCTION
TO BUSINESS 4e

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Motives and Functions of a Business

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Why Study Business?

Every product you use, every service you rely on, and every job you'll pursue is shaped by businesses. Whether you aim to start your own company, lead a team, or navigate the global marketplace, understanding **why businesses exist and how they function** is critical.



Key Questions to Ponder

Why do businesses exist?

Is it solely to make money, or are there deeper motivations?

What drives innovation today?

Look at examples like Starbucks' mobile app or Tesla's electric cars—how do companies stay ahead?

How does the world around us shape business?

Consider how COVID-19 reshaped retail or how climate change pushes companies toward sustainability.



Real-World Connections

Let's tie this to your lives:

Have you ever wondered why apps like Wechat or Douyin are free to use?

**Why do some brands dominate social media?
(Think about marketing strategies and understanding customer desires.)**



The New Landscape

Today, the business world is being reshaped by forces your textbooks couldn't have predicted five years ago:

Artificial Intelligence is replacing jobs while creating entirely new industries

TikTok Shop turned social media into a retail powerhouse

Climate change is forcing every industry to rethink its resources and stakeholders

Remote work has redefined what a "workplace" even means



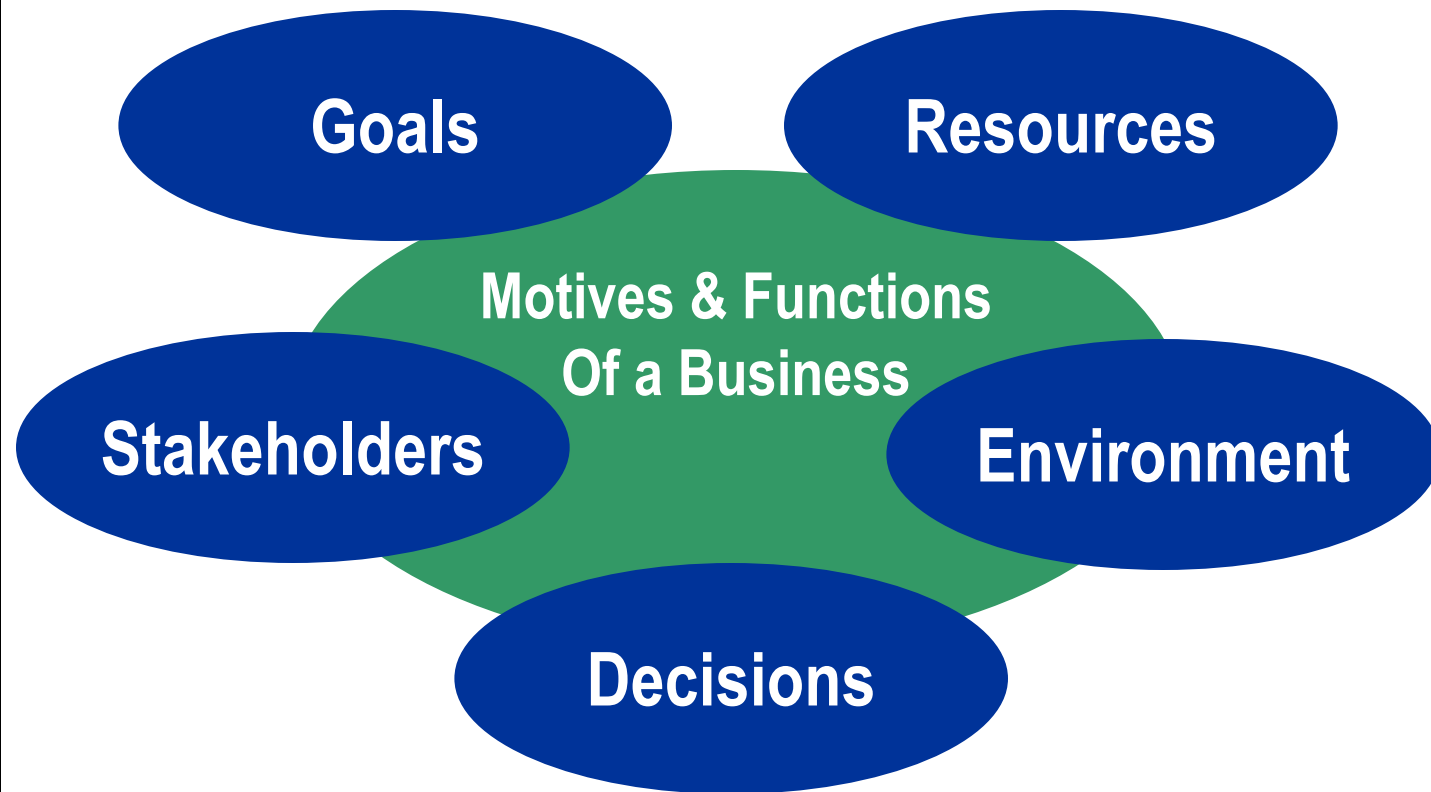
The New Landscape

The rules are being rewritten in real time. And you—the business leaders of 2030—need to understand not just what businesses do, but why they succeed or fail.

This unit gives you a lens to analyze any business—whether it's a street vendor or a tech giant. We will examine five interconnected elements:



Learning Objectives



The Key Decisions in Running A Business

1. What is the **goal** of my business?
2. What **resources** does my business need?
3. What types of **stakeholders** must my business satisfy?
4. In what ways is my business exposed to the **environment**?
5. What are the key types of **decisions** that must be made for my business?



Goals
Resources
Stakeholders
Environment
Decisions



Goals of a Business

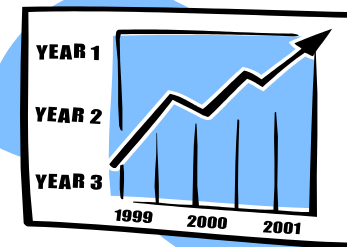
Consumer



Needs

Opportunity

Owner



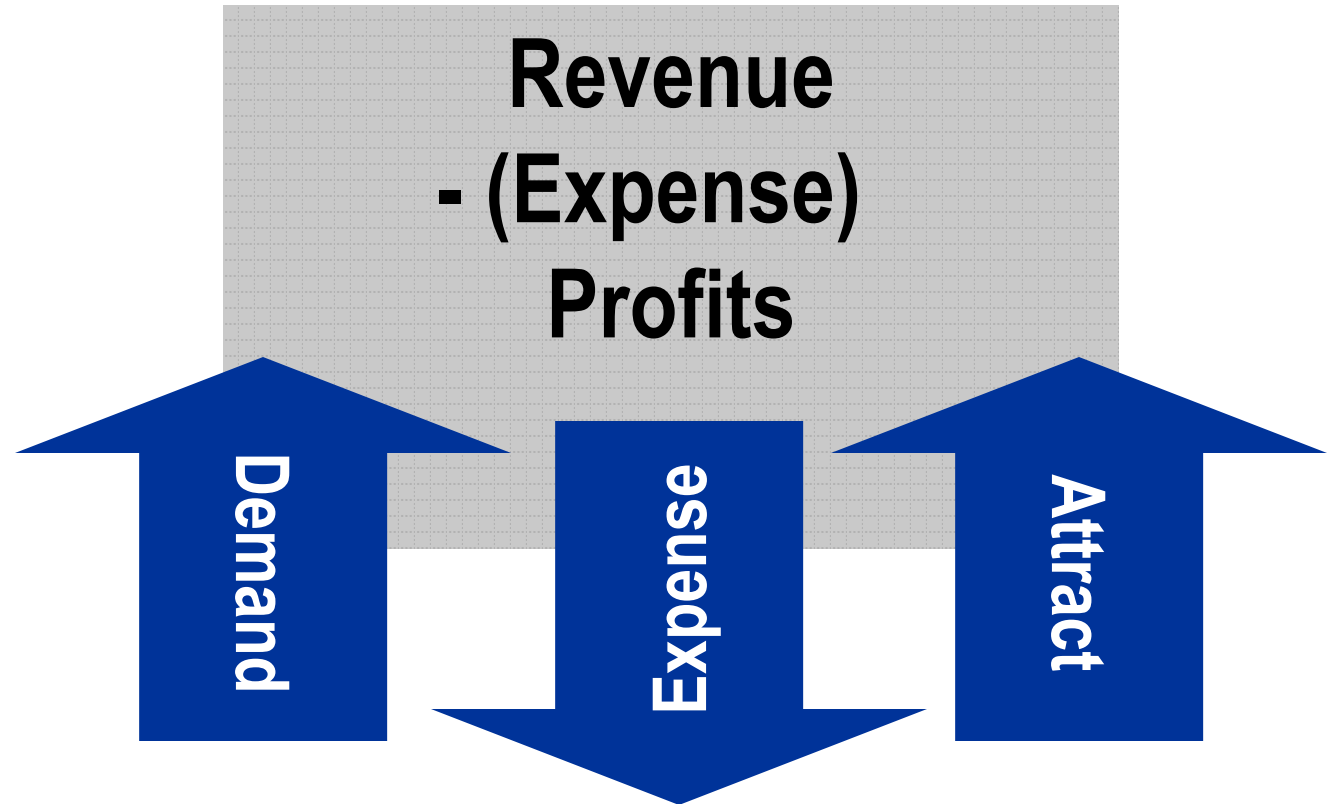
Profit

Lower Price

*Goals
Resources
Stakeholders
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Decisions*



Where Profits Come From



Motives and Functions of a Business

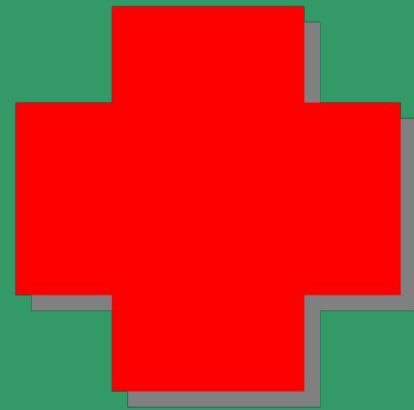
Goals
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Government & Nonprofits



Free Markets



Nonprofit

Goals of a Business

- A. The goal of a business is to provide a product or service that is desired by customers, enabling it to make a profit.**
- B. The difference between the revenue and expenses is the profit.**



Goals of a Business

C. Profit depends on the demand for the product or service, the ability to attract customers (competitiveness), and keeping expenses low.

D. A nonprofit organization serves a specific cause and is not intended to make profits, but is run like a business.



Goals
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Goals of a Business

TASK:

Choose a well-known nonprofit organization and describe how it functions like a business



Goals of a Business

Goodwill's primary revenue stream comes from **retail sales of donated goods**, with over 3,200 thrift stores worldwide selling clothing, furniture, electronics, and more. Beyond retail, Goodwill diversifies revenue through **business partnerships and contracts**.



Goals of a Business

Goodwill proves that nonprofits can operate like businesses—with revenue targets, operational efficiency, and strategic planning—while staying true to their mission. Its decentralized structure, diversified revenue streams, and focus on "impact investing" (reinvesting profits into people) make it a model for social enterprise. **By treating donations as "raw materials" and stores as "retail outlets," Goodwill has turned charity into a sustainable, community-driven business—one that not only makes money but also changes lives.**



*Goals
Resources
Stakeholders
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Decisions*



Factors of Production

Natural Resources

Human Resources

Capital

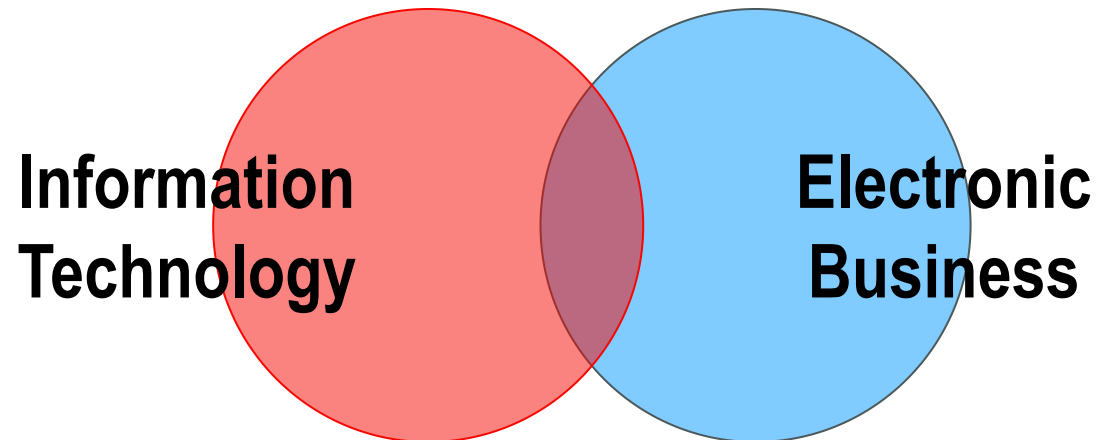
Entrepreneurship

Motives and Functions of a Business

Goals
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Technology



Motives and Functions of a Business

Goals
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Entrepreneurship

Creates



IDEAS

Accepts



RISK

Motives and Functions of a Business

Goals
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Stakeholders



Owners

Creditors

Employees

Suppliers

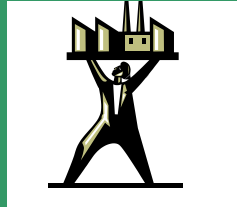
Customers

Motives and Functions of a Business

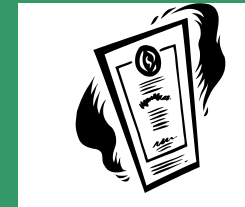
Goals
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Owners



Entrepreneur



Stockholder

Goals
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Creditors



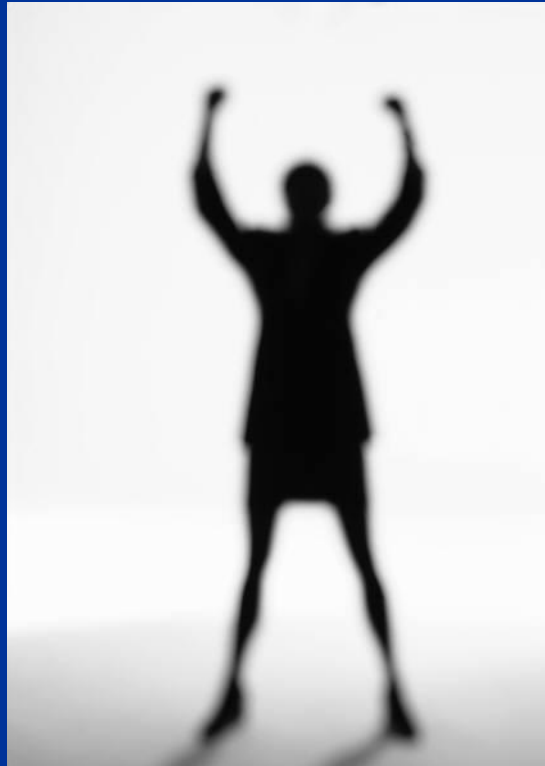
Loans

Motives and Functions of a Business

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People in Business



Employees

Suppliers

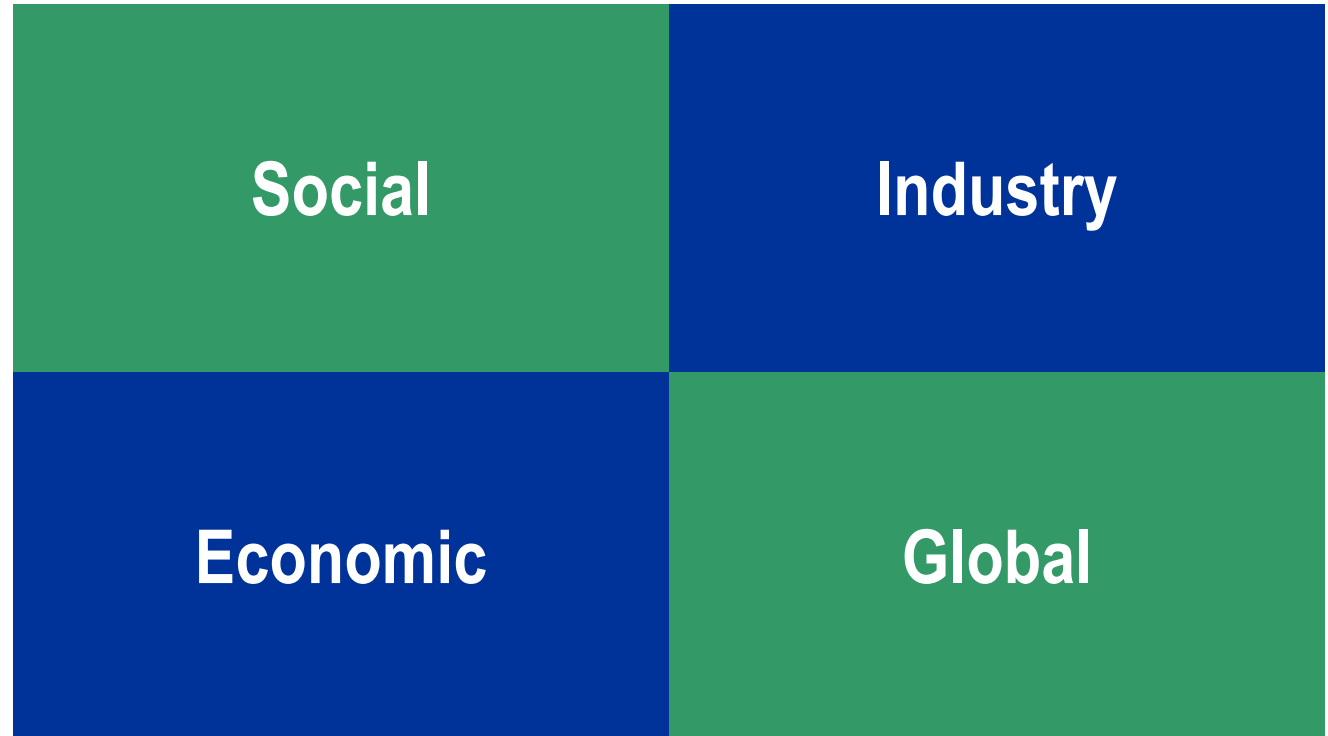
Customers

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Business Environment



Business Environment

TASK:

**If a company only does business domestically,
why does it have to worry about the global
economy?**





Business Environment

Global Supply Chains: Domestic Production
Relies on Global Inputs

Exchange Rate Volatility: Impacts Export
Competitiveness and Import Costs

Global Demand Shifts: Domestic Consumers
Buy Global Products

Global Commodity Prices: Affect Domestic Input
Costs

Global Competition: Imports Threaten Domestic
Markets

Global Capital Flows: Influence Domestic
Financing Costs



Business Environment

No Domestic Company Is an Island

The global economy is a web of interconnected systems—supply chains, currencies, consumer trends, and capital flows—that touches every domestic business. Even if a company never crosses borders, it depends on global inputs, competes with global products, and is affected by global financial conditions. To survive and thrive, domestic companies must monitor global economic trends (e.g., exchange rates, commodity prices) and adapt their strategies (e.g., diversifying suppliers, responding to consumer trends). Ignoring the global economy is no longer an option—even for the most “domestic” of businesses.

Business Decisions

The key types of business decisions may be classified as management, marketing and finance.

- 1. Management** is the means by which employees and other resources are used by a firm.
- 2. Marketing** is the means by which products or services are developed, priced, distributed, and promoted to customers.
- 3. Finance** is the means by which a firm obtains and uses funds for its business operations.



Motives and Functions of a Business

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Marketing



Pricing Strategy

skimming price

penetration price

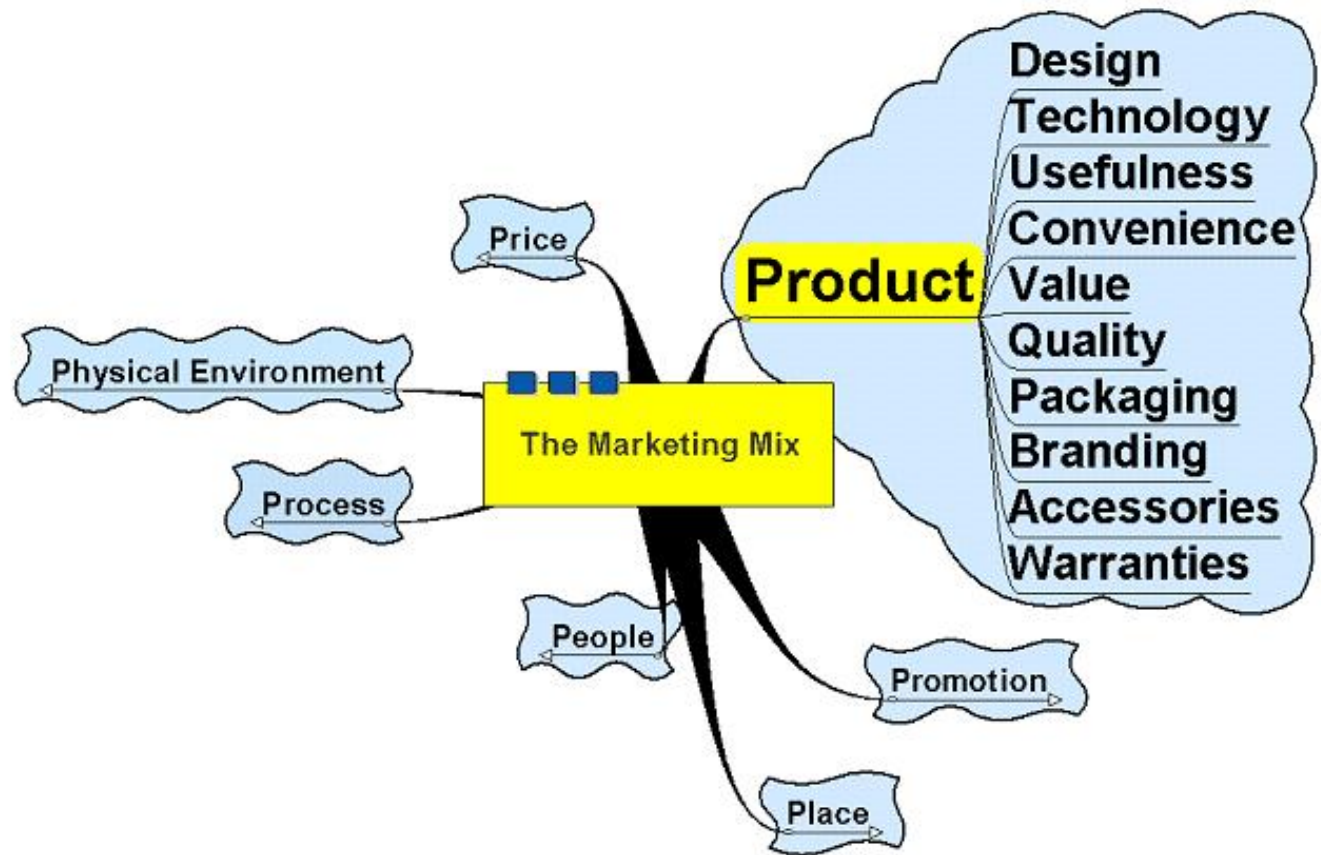


Motives and Functions of a Business

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Marketing



Motives and Functions of a Business

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Marketing



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Marketing



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Marketing

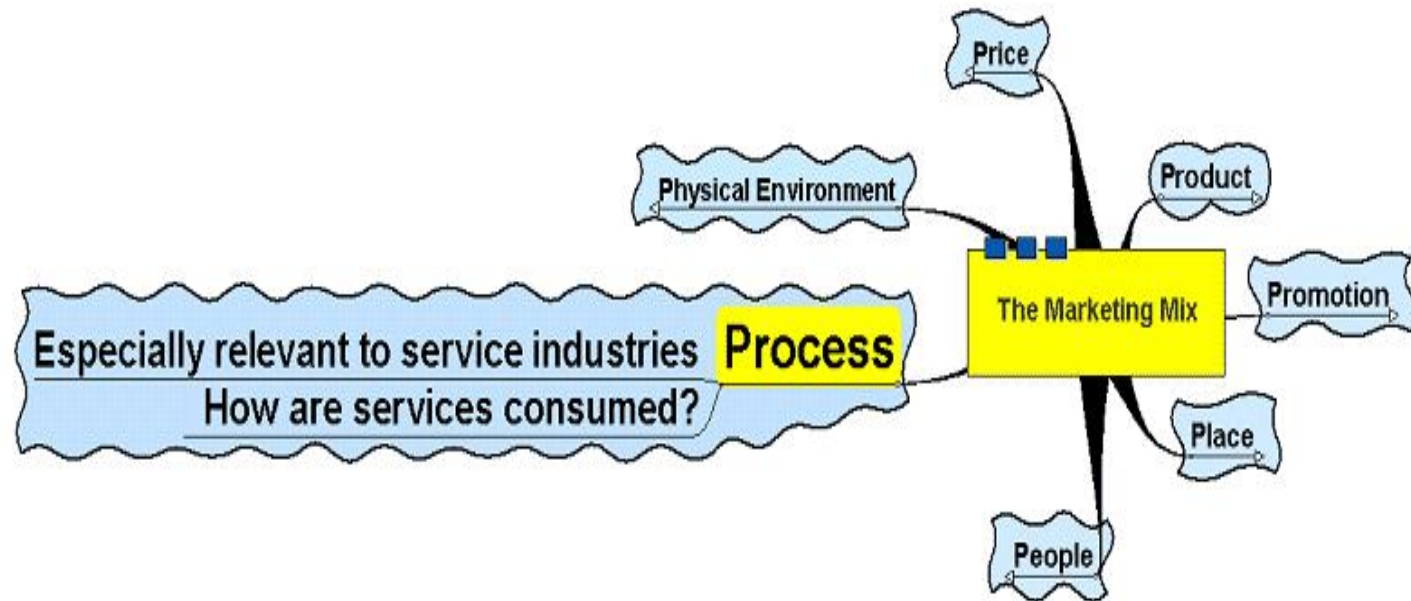


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Marketing



Marketing

- **产品 (Product)**
- 案例：瑞幸咖啡的“酱香拿铁”
- 瑞幸与茅台联名推出“酱香拿铁”，把咖啡和白酒结合，创造出年轻人猎奇、社交属性的爆款产品。
- 关键点：产品要解决用户需求（提神+社交谈资），同时有差异化（跨界联名）。



Marketing

- **价格 (Price)**
- 案例：拼多多的“百亿补贴”
- 拼多多用低价策略（比如iPhone比官网便宜500元）吸引价格敏感用户，同时通过“砍一刀”裂变拉新。
- 关键点：定价要符合目标人群（下沉市场用户）、匹配竞争策略（低价心智）。



Marketing

- **渠道 (Place)**
- 案例：元气森林的“全渠道覆盖”
- 便利店（线下即时购买）+ 天猫京东（线上囤货）+ 直播间（限时促销）+ 自动售货机（写字楼场景）。
- 关键点：用户在哪，渠道就铺到哪，减少购买障碍。



Marketing

- [illegible]



Marketing

- **人员 (People)**
- 案例：海底捞服务员
- 海底捞服务员会送小零食、陪聊天、甚至给单身顾客放玩偶陪吃，通过“人的服务”提升体验。
- 关键点：员工是品牌形象的延伸，尤其服务行业（比如直播间人设也是“人员”要素）。



Marketing

- **有形展示 (Physical Evidence)**
- 案例：喜茶门店设计
- 喜茶的ins风装修、定制杯套、小程序里的国风视觉，都在传递“年轻潮流”的品牌调性。
- 关键点：用户接触品牌的一切“实体痕迹”都要传递统一信息（比如外卖包装、App界面）。



Marketing

- **过程 (Process)**
- 案例：美团外卖的“30分钟送达”
- 从下单→接单→取餐→配送→评价，美团通过算法优化流程，确保高效履约。
- 关键点：用户从接触品牌到完成消费的每个环节都要顺畅（比如网购的“一键下单”功能）。



Marketing

7Ps是一个系统

- 比如一家奶茶店：
- 产品：主打“0糖鲜果茶”（差异化）
- 价格：定价25元（瞄准白领人群）
- 渠道：开在写字楼商圈+上线饿了么）
- 促销：小红书博主打卡送券（社交传播）
- 人员：店员微笑服务+主动推荐新品（用户体验）
- 有形展示：门店用绿植和玻璃瓶包装（环保形象）
- 过程：手机点单免排队→制作透明可见→积分兑换（流程优化）
- 本质是让用户从知道品牌到购买的全流程都爽！



Review & Critical Thinking Questions

**Explain why a business must assess its
social environment.**



Review & Critical Thinking Questions

A business must recognize social preferences so that it knows what types of products and services are desired by consumers.



Review & Critical Thinking Questions

Explain why people are willing to be entrepreneurs, even though they might potentially lose all the money that they invest in the business.



Review & Critical Thinking Questions

Many people want to work for themselves rather than someone else, and if so, will become entrepreneurs.



Discussion Questions

You attempt to obtain the lowest possible rent on your new business and locate in an area that gets very little traffic. Why might it be preferable to open the business in a busy part of town even if the rent is higher?



Review & Critical Thinking Questions

The benefit of low rent may be offset by the disadvantage of customers not being willing to go to another part of town.

